Viyash Scientific Ltd â€” Concall Tracker

Formerly SeQuent Scientific Ltd | NSE/BSE: VIYASH (512529) | Animal-health + human API / CDMO / formulations | Carlyle-controlled

Report date: 5 July 2026 â€¢ Based on the 12 most recent earnings calls (Q2 FY24, Nov 2023 â†' Q4 FY26, May 2026) sourced from Screener.in

1. Snapshot

What the business does (one line): Viyash makes and sells veterinary (animal) medicines, the active drug chemicals that go into medicines (called APIs, i.e. Active Pharmaceutical Ingredients â€" the actual working ingredient in a pill), and increasingly does contract drug development and manufacturing (CDMO = Contract Development and Manufacturing Organisation, i.e. making drugs for other big pharma companies). It earns mostly by exporting these to 150-plus countries.

Important context: This company is the merger of two Carlyle-owned firms â€" *SeQuent Scientific* (animal health) and *Viyash Life Sciences* (human API). The merger was legally completed in November 2025, the combined firm was renamed Viyash Scientific, and FY26 (year to March 2026) is its first full year as one company. So the older calls in this report are "SeQuent" and the newest ones are "Viyash Scientific" â€" same lineage.

Metric	Value	Plain-English read
Market capitalisation	â‚¹12,851 cr	What the whole company is worth on the stock market today.
Current price / 52-wk range	â‚¹294 (â‚¹166â€"297)	Share trades near its 1-year high â€" the stock has run up hard.
FY26 revenue (combined, per management)	â‚¹3,420 cr	Total sales for the full year as one merged company â€" up about 14% on the year.
FY26 profit after tax (combined)	â‚¹225 cr	The bottom-line profit â€" roughly 14 times the â‚¹16 cr of the prior year, a big turnaround.
FY26 operating margin (adj. EBITDA)	20.5%	Out of every â‚¹100 of sales, about â‚¹20.50 is operating profit before interest, tax and depreciation â€" nearly triple the ~7.8% of two years ago.
Stock P/E (Screener)	123	Price Ã· per-share profit. Looks very expensive, but this is on the smaller *reported* profit; on the â‚¹225 cr combined profit the multiple is closer to ~57 â€" still rich.
ROCE / ROE	8.0% / 4.8%	Return on capital and on shareholders' money â€" still low, because these ratios are dragged down by past low-profit years; they are rising fast.

Note on the numbers: Screener's reported profit-and-loss shows FY26 sales of ~â‚¹1,382 cr because the merger consolidated only for part of the year in the statutory accounts. Management's â‚¹3,420 cr is the full 12-month combined figure and is used throughout this report as the more meaningful base.

2. Concall coverage

Screener listed 31 concalls back to 2018; the 13 oldest (2018â€"2021) are not downloadable and fall outside the 3-year window, so they were skipped. The 12 most recent calls â€" the entire relevant history â€" were read in full. The latest call (Q4 FY26) is present, so there is no gap on fresh information.

#	Quarter	Call date	Entity name at the time	Read?
1	Q2 FY24	7 Nov 2023	SeQuent Scientific	Yes
2	Q3 FY24	15 Feb 2024	SeQuent Scientific	Yes
3	Q4 FY24	16 May 2024	SeQuent Scientific	Yes
4	Q1 FY25	16 Aug 2024	SeQuent Scientific	Yes
5	Merger update	1 Oct 2024	SeQuent (special merger call)	Yes
6	Q2 FY25	14 Nov 2024	SeQuent Scientific	Yes
7	Q3 FY25	13 Feb 2025	SeQuent Scientific	Yes
8	Q4 FY25	21 May 2025	SeQuent Scientific	Yes
9	Q1 FY26	11 Aug 2025	SeQuent (pre-merger, dual reporting)	Yes
10	Q2 FY26	19 Nov 2025	SeQuent (merger sanctioned 18 Nov)	Yes
11	Q3 FY26	6 Feb 2026	Viyash Scientific (first merged report)	Yes
12	Q4 FY26	20 May 2026	Viyash Scientific	Yes

This spans about 2.5 years of quarterly commentary plus the special call that explained the merger â€” a strong basis for judging whether management does what it says.

â˜… Latest concall highlights â€” Q4 & FY26 (call held 20 May 2026)

- **Best quarter in the company's history.** Q4 revenue was â‚¹920 cr (the quarter's total sales, up ~19% on a year ago). Operating profit (adjusted EBITDA) rose ~64% to â‚¹200 cr, a 21.7% margin â€” meaning ~â‚¹21.70 of every â‚¹100 of sales was operating profit.
- **Profit swung from loss to solid profit.** Q4 went from a â‚¹32 cr loss a year ago to a â‚¹66 cr profit. For the full year, profit after tax was â‚¹225 cr â€” about 14 times last year's â‚¹16 cr.
- **Credit rating upgraded.** Long-term rating moved from A to AA-, short-term from A1 to A1+ â€” lenders now see the merged firm as clearly safer, which lowers borrowing cost.
- **New/reaffirmed guidance.** Management targets operating profit (EBITDA) of ~â‚¹800 cr in FY27/FY28, then â‚¹1,000 cr and eventually â‚¹1,500 cr; a ~15% yearly sales growth is called "definitely possible." Merger cost savings of â‚¹50â€“60 cr are already flowing and are expected to reach â‚¹125â€“150 cr within 12â€“18 months.
- **Tone: confident, deal-hungry.** The balance sheet is nearly debt-free, and management is "actively evaluating selective inorganic opportunities" â€” i.e. hunting for acquisitions. One-off merger accounting (~â‚¹100 cr of goodwill write-down this year) drops to ~â‚¹35 cr next year, which should further lift reported profit.

Business mix & capacity (quick-glance)

Segments (FY26): Formulations (finished medicines â€” animal + US human health) â‰ˆ â‚¹1,866 cr, ~55% of sales, growing ~18%. API + CDMO (drug chemicals + contract manufacturing) â‰ˆ â‚¹1,491 cr, ~44%, growing ~8%. CDMO alone is small today (~â‚¹200 cr, ~15% of the API line) but flagged as a future engine.

Domestic vs export: Overwhelmingly export â€” India historically is only ~6â€“8% of the animal-health formulations business; the rest is Europe (Spain, Turkey), Latin America (Brazil, Mexico) and regulated markets. A clean single domestic/export split for the merged group was *not disclosed*. Two subsidiaries carry outside minority owners: US formulations (Appco, 60%-owned, ~â‚¹400â€“425 cr revenue) and Spain (60%-owned, ~â‚¹550 cr revenue) â€” together ~20% of profit goes to minority partners, not to Viyash shareholders.

Capacity utilisation: Plants were running ~60â€“70% in recent calls (roughly 30â€“40% headroom) â€” so the company can grow output meaningfully before needing big new factories. Management says no major capacity spending is needed for the existing business over the next ~2 years.

â˜… 3. Earning-trigger thesis â€” the headline

The main thing management says will grow earnings is a **structural profit re-rating from the SeQuentâ€“Viyash merger**: bringing the two Carlyle companies together lets Viyash make its own drug chemicals in-house (backward integration), drop low-margin commodity products, optimise a shared factory network, and cut duplicate costs. This has already turned a barely-profitable animal-health company into one earning ~20% operating margins. Layered on top are two newer, slower-burn growth engines â€” **companion-animal (pet) medicines** and **CDMO** (making complex drugs for global innovators).

Trigger	What management said	Evidence so far	Time horizon	Strength
Margin step-up from merger + product-mix upgrade	Move to ~20% operating margin; â‚¹50â€“150 cr cost synergies; drop commodity products, in-house APIs.	Operating margin rose 7.8% (FY24) â†’ 12.9% (FY25) â†’ 20.5% (FY26); profit up ~14x; near debt-free; rating upgraded.	Largely delivered; more synergies over 12â€“18 months.	Strong
Revenue scale-up to â‚¹4,000 cr	~â‚¹4,000 cr sales + 20% margin by FY27â€“28; ~15% yearly growth thereafter.	FY26 already â‚¹3,420 cr and 20.5% margin â€” margin target hit early; revenue target within reach.	Next 1â€“2 years.	Strong
Companion-animal (pet) medicines	Key 5-year engine; exclusive India distribution deal with Boehringer Ingelheim; Europe pet-generics market ~$1bn, low ~15% genericised.	Deal signed, distribution began Feb 2026; R&D + capacity build only just starting; no revenue proof yet.	3â€“5 years.	Moderate / unproven
CDMO (contract manufacturing for innovators)	~15â€“20 products signed with big pharma; launches phased 2028â€“2035; "substantial" later revenue.	Relationships real (serves 8 of top-10 innovators), but revenue is small (~â‚¹200 cr) and the big money is years out.	2028 onwards (long-dated).	Moderate / unproven
Animal-health & human API new products	API back above â‚¹100 cr/ quarter; many products coming off patent from 2028; double-digit growth "next year".	API milestone hit; but API grew only ~5â€“8% in FY26 (deliberately shedding commodity lines).	1â€“3 years.	Moderate

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict

FY24 (Nov'23â€“May'24)	Exit FY24 at double-digit operating margin via the "Project Pragati" cost programme + exiting loss-making businesses.	Margin climbed 7.6% â†’ 11.4% across the year; exited FY24 in double digits exactly as promised.	**Delivered**
FY25 (Aug'24â€“May'25)	Grow sales double-digit, push margin to mid-teens, turn the bottom line positive.	FY25 sales +13%, margin 12.9%, and a full-year profit after a prior loss. Growth returned (+17% in one quarter).	**Delivered**
Oct 2024 merger call	Merge SeQuent + Viyash at a 56:100 swap; close in 12â€“15 months; reach ~â‚¹4,000 cr / 20% margin by FY27â€“28.	Merger legally completed Nov 2025 (roughly on schedule); 20% margin achieved a year early in FY26.	**Delivered**
FY26 (Aug'25â€“May'26)	Combined ~20% operating margin "minimum"; synergies â‚¹50â€“60 cr; deleverage toward debt-free.	FY26 margin 20.5%; synergies flowing; debt cut sharply; credit rating upgraded.	**Delivered**
Companion animal / CDMO	Named as the big future growth engines; deals and R&D being built.	Boehringer deal signed, CDMO relationships in place â€” but revenue proof is still years away.	**Too early**
Cash conversion (analyst-flagged)	Improve the weak ~45% conversion of operating profit into actual cash.	Still a watch item; receivables grew with sales in FY26; management says it is "in control" and a focus area.	**Partly**

Narrative drift: Remarkably steady. For nearly three years the same core story â€” fix margins first, then merge, then scale â€” has been repeated call after call and, importantly, *delivered*, often ahead of schedule (the 20% margin target set for FY27 was hit in FY26). The only evolution is the growing airtime given to companion-animal pets and CDMO as the "next chapter" now that the turnaround is done â€” a sensible progression, not a story that changes every year. Tone has moved from cautious/defensive (2023, when a weak quarter had to be explained) to confidently upbeat (2026). Genuine caveats to keep watching: weak cash conversion, single-digit API growth, ~20% of profit leaking to minority partners in the US and Spain arms, and a demanding valuation.

5. Bottom line â€” two verdicts

Durable earning trigger? â†’ YES

There is a clear, concrete driver and it has visibly played out: the SeQuentâ€“Viyash merger has structurally re-rated earnings â€” operating margin near-tripled (7.8% â†’ 20.5% in two years), profit rose ~14x, and the balance sheet is now near debt-free with a credit-rating upgrade. That is a delivered, still-live trigger, not a promise. On top of it sit credible (if unproven) optional engines in pet medicines and CDMO. The one honest qualifier is that this is more a *profit-quality* re-rating than a fast top-line growth story â€” sales grow at a mid-teens pace, not explosively â€” but the earning trigger itself is real and durable.

Management consistent? â†’ YES

Across 12 calls and roughly three years, management laid out a sequence â€” turn margins, merge, then scale â€” and hit each milestone, several times ahead of guidance (the FY27 margin target arrived in FY26; the merger closed on schedule; FY24 and FY25 exit targets were met). The story has stayed steady rather than lurching, and the leadership team has been candid about one-off costs and about weak spots like cash conversion. This is a strong, evidence-backed Yes. Investors should still weigh the non-story risks: the rich valuation, ~45% cash conversion, and the ~20% of profit that belongs to minority partners.

Prepared from Screener.in concall transcripts (Q2 FY24 through Q4 FY26) and Screener financial data. This is a reading of management's own words and the reported numbers, not investment advice. "Combined/proforma" figures are management-stated full-year figures for the merged entity.